Council 25 February 2026	
Report of: Abdulrazak Kassim, Acting Corporate Director of Resources (Section 151 Officer)	**Classification:** Unrestricted
The Council's 2026-27 Budget Report and Medium Term Financial Strategy 2026-29	

Lead Member	**Councillor Saied Ahmed, Cabinet Member for Resources and the Cost of Living**
Originating Officer(s)	Chris Leslie, Corporate Head of Financial Management
Wards affected	All wards

Executive Summary

This report sets out the proposals of the Mayor in Cabinet for the Council's Budget and Council Tax 2026-27.

This report also includes the Chief Finance Officer's Section 25 statement, the Treasury Management Strategy Statement, Investment Strategy Report and Capital Strategy Report for 2026-27, approved for recommendation to Council by the Audit Committee on 29 January 2026.

Recommendations:

In accordance with the recommendation of the Mayor in Cabinet, Full Council is recommended:

Revenue and Capital 2026-29

1. To approve a General Fund Revenue Budget of £497.797m and approve a Council Tax (Band D) of £1,327.27 (Council share) for 2026-27 as set out in the motion and Council Tax Resolution attached at Annex 1 to this report. This incorporates a 2.99% increase to the Tower Hamlets element of Council Tax and a 2% Adult Social Care precept for 2026-27.

2. To note the GLA precept as set out in the Council Tax Resolution is subject to the approval of the GLA Assembly at their meeting scheduled for 26 February 2026.

3. To note the change in the budget report appendices to reflect the final Local Government Finance Settlement grant allocations.

4. To approve the Capital Programme, Housing Revenue Account budget, fees and charges and Dedicated Schools budget.

Treasury Management Strategy Statement, Investment Strategy and Capital Strategy 2026-27

5. To adopt the Treasury Management Strategy Statement set out in Annex 3 Appendix A attached to this report.

6. To adopt the Investment Strategy Report set out in Annex 3 Appendix B attached to this report.

7. To adopt the Capital Strategy Report (which incorporates the Minimum Revenue Provision Policy Statement) set out in Annex 3 Appendix C attached to this report.

Section 25, Local Government Act 2003

8. To have regard to the Section 151 officer's view on the robustness of estimates and adequacy of reserves required under Section 25 of the Local Government Act 2003, set out in section 2 of this report.

Local Council Tax Reduction Scheme (LCTRS)

9. To note that the Local Council Tax Reduction Scheme will remain unchanged for 2026-27.

1. CABINET MEETING, 28 JANUARY 2026

1.1 The Cabinet received the report of the Interim Corporate Director - Resources on the Council's 2026-29 Budget Report.

1.2 In considering the information in the reports, the Mayor and Cabinet considered the comments of the Overview and Scrutiny Committee (OSC) on the Mayor's initial budget proposals.

1.3 The Mayor and Cabinet also agreed to authorise the Corporate Director – Resources, after consultation with the Mayor and Cabinet Member for Resources and the Cost of Living, to make any changes required to the budget following the final Local Government Finance Settlement announcement.

1.4 The final Local Government Finance Settlement was received on 9 February 2026.

1.5 A summary of the financial changes to the report is shown in the following table:

Changes	**2026-27 £000**	**2027-28 £000**	**2028-29 £000**
Reduction in Transformation Activity Saving	8,000	18,000	11,000
Additional Business Rates Income	(10,592)	(15,538)	(15,482)
Additional Revenue Support Grant	(2,757)	(1,393)	0
Rephasing of Demand Growth	0	(5,000)	0
Ringfenced Grant Allocations	2,039	2,039	2,039
Corporate Funding Reserve	3,310	1,891	2,443
Total	**0**	**0**	**0**

1.6 Please note that the following appendices from the Cabinet meeting of 28 January 2026 have been updated to reflect the final Local Government Finance Settlement grant allocations:

- Appendix 1A Medium Term Financial Strategy Summary
- Appendix 1B Medium Term Financial Strategy Detail by Service Area
- Appendix 1C Core Spending Power
- Appendix 2A Proposed New Growth & Inflation Summary
- Appendix 3A Proposed New Net Budget Reductions Summary
- Appendix 3B Proposed New Net Budget Reductions Business Cases
- Appendix 7 Reserves Policy
- Appendix 8 Projected Movement in Reserves

2. SECTION 25, LOCAL GOVERNMENT ACT 2003

Introduction

2.1 Section 25(2) of the 2003 Act requires Full Council to have regard to the CFO's report when agreeing its annual budget and precept. In addition, Council must have regard to this report when making its decisions around the annual budget and the level of Council Tax for 2026-27 in accordance with section 31A of the Local Government Finance Act 1992.

2.2 Section 26 of the Local Government Act 2003 places an onus on the CFO to ensure the Council has established a minimum level of reserves to be retained to cover any unforeseen demands that could not be reasonably defined within the final the proposed budget.

2.3 Local authorities owe a fiduciary duty to Council taxpayers, which means they must consider the prudent use of resources in the short and long term, including control of expenditure, the need to strike a fair balance between the interests of Council taxpayers and the community's interest in adequate and efficient services, and the need to act in good faith in relation to compliance with statutory duties and exercising statutory powers.

2.4 In the London Borough of Tower Hamlets, the CFO (Section 151 Officer), as defined in the Local Government Act 1972 is the Acting Corporate Director of Resources, a role held by the current CFO on an acting basis since June 2025. The S25 and S151 duties are the personal responsibility of the CFO and this statement is provided in the exercise of those statutory duties. It represents the professional opinion of the CFO based on their time in the role and the evidence available to them.

2.5 There is no prescribed format to a section 25 statement, but it is required to be presented as part of the Council's General Fund Revenue Budget, MTFS, including Treasury Management Strategy and Housing Revenue Account.

Financial Management

2.6 Members need to be mindful of the track record of financial management. The Council overspent its budget by £16.5m in 24-25, which was funded from the Council's Risk Reserves. The 2025-26 Q2 forecast reported to Cabinet, set out the forecast position and the mitigations already underway. The forecast position for 25-26 is set out below:

a) £18.9m net General Fund (GF) overspend after applying planned substitution of funding from NCIL, CIL, S106 and Public Health of £19.1m (subject to ongoing and consistent application of relevant governance processes) and net drawdowns of departmental reserves of £18.8m (Q1 was £14.7m overspend). The overspend has increased since Q1 mainly

because of demand led service pressures across adults and children's social care.

b) £9.4m Dedicated Schools Grant (DSG) overspend (Q1 was £5.8m overspend) bringing the total accumulated deficit to £29.5m.

c) £3.2m Housing Revenue Account (HRA) overspend (Q1 was breakeven).

There is a risk that Q3 and Outturn for 25-26 may increase and adversely impact on the Councils financial resilience.

2.7 Corporate Directors have implemented in-year management actions through the Spending Review Panels, including vacancy management, reducing and slowing of non-essential spend and tighter controls on staffing. Corporate Directors are accountable for delivery of the agreed management actions and progress is being reviewed and managed corporately each month at the Spending review panels. Any overspend after all sources of funding have been exhausted at the year-end will need to be financed from the Council's reserves.

2.8 In view of overspends in 2024-25 and 2025-26 forecast, for financial resilience, the culture of the Council needs to be one where overspending is 'unacceptable.' In 2026-27 and beyond the Council will need to be prepared to take all necessary actions to ensure to the budget remains balanced.

2.9 The Council's Finances are subject to External Audit under which the Councils Annual Statement of Accounts are subject to review and robust testing by the appointed auditor. The Council last received an unqualified opinion for the Statement Accounts in 2017-18. Since then, the Council has received qualified audit opinion for the Statement of Accounts for 2018-19 and 2019-20. Thereafter, the Council has received a disclaimed opinion for the period ending 2024-25. This means the Auditors are unable to obtain sufficient appropriate evidence to conclude if the financial statements are free from material misstatements and it is not possible to be certain that there no legacy issues that will emerge in the future, impacting on the assumptions, estimates, reserves and financial resilience over the MTFS.

2.10 The external Auditors (EY) Interim Value for Money Report (VFM) was presented to the Audit in December 2025 for year ending 31st March 2025. In that report EY reported 10 significant weaknesses including 4 statutory recommendations which Council is in the process of implementing and the Council will need to ensure these are embedded.

2.11 A core element of this work is the full balance sheet review, which will strengthen assurance over all key balances, including reserves and provisions. This is essential to restoring confidence in the Council's financial resilience and ensuring that the underlying issues identified by the auditors are fully and sustainably resolved.

2.12 The Council has developed a comprehensive mobilisation plan to address the significant weaknesses identified by the External Auditors and to ensure the

required improvements are delivered. To support this work, the budget provides £2m in 2026–27, rising to £4.5m over the three-year Medium Term Financial Strategy (MTFS) period. Given the scale of the issues raised, it is critical that the Council continues to work closely with its external auditors and delivers this work at pace.

2.13 As part of the 2024-25 VFM audit, external auditors concluded there were no significant weaknesses in financial sustainability. In light of recent in-year overspends and related reserve drawdowns, they recommended strengthening forecasting, scenario planning and reserves management; these recommendations have been implemented and are now embedded in our budget-setting and in-year monitoring.

2.14 The Council has been under government intervention since January 2025 in relation to Best Value duties. Regular updates are provided to the government the envoys. The most recent letter from MHCLG in January 2026 outlined the progress of the intervention in Tower Hamlets, including “material concerns about the Council’s financial management and governance”, and set out a proposed approach to strengthening the statutory support package for the Council. This letter is publicly available on the government’s website.

2.15 In preparing the 2026-27 MTFS, the Council has in place, arrangements and controls to manage the risks and impacts. These include:

a) Regular Financial Management, Monitoring and reporting to the Corporate Leadership Team, the Financial Sustainability Forum (FSF) chaired by the Mayor, Cabinet and Scrutiny Committee.

b) Saving Delivery. The Council has improved mechanisms for managing risks on savings delivery on an ongoing basis through a three-tier governance process, which is reviewed and updated iteratively to maintain robustness. The framework is built on three key layers of assurance: financial review of savings at risk with savings owners and the relevant Heads of Finance to enable a collaborative discussion, ensuring alignment and clarity; service impact review and data validation review from multiple perspectives for meaningful insights and a Change Management process to provide tailored support for savings targets at risk. Through this approach, the MTFS team works with services having difficulty delivering the original business case, helping them develop a new, evidence-led business case. This revised case is then reviewed by the Transformation & Budget Board and then submitted to CMT and the Executive Mayor in Cabinet for approval.

c) Prioritising resources to the Corporate Plan and ensuring investment aligns with the Council’s agreed priorities. Budget proposals are developed within the framework of the Council’s Strategic Plan, with associated delivery risks identified, assessed, and where appropriate, mitigated.

Robustness of Budget Estimates

2.16 The London Borough of Tower Hamlets enters the 2026–29 Medium-Term Financial Strategy (MTFS) period against a backdrop of significant challenges for local government with unprecedented demands on all services, cost of living crisis and continual inflationary cost pressures.

2.17 Tower Hamlets is not exempt from these demands. Given local authorities statutory duty to provide a range of services where demand is growing, for example adult social care, homelessness, and SEND pressure on the Council's finances and services will continue which brings risks through their volatility in volumes and costs.

2.18 The Council provides many services to its residents to a high quality and has done so for many years with a lower Council tax than its neighbouring authorities. This Statement is not about the quality of these services, it is about the financial challenges the Council faces, in common with most other councils, to continue to provide services on a financially sustainable basis.

2.19 The local government settlement marks the first time in this decade that the Government has illustrated multiple years' worth of funding allocations, covering 2026-27 to 2028-29. However, it should be noted that the settlement remains an annual event and figures for future years are subject to change until they are 'locked in' by their own settlement. It is important to place this budget and the 3-year MTFS a in the context of a highly uncertain funding environment for local government. The Fair Funding Review 2.0 has significant implications for the council's future government funding with a potential risk arising in 2029-30. In a worst-case scenario, in the next Spending Review, funding may fall in real terms.

2.20 Members need to be mindful of other material risks. There is a real possibility that inflation and pay awards may outstrip the forecasts assumed within the MTFS, placing further pressure on the Council's budget. Demand for services, particularly in high-risk and volatile areas, continues to exceed already elevated trends, placing sustained upward pressure on the Council's financial position. The delivery of both future savings proposals and transformation programme may face operational and delivery challenges. Income budgets can be subject to changes in both demand and economic conditions and can be volatile.

2.21 Whilst the Acting Director of Resources (s151 officer) ensures that the overall MTFS process drives forward, it is a collaborative effort with the Mayor, Cabinet Member for Finance, other Cabinet Members, Chief Executive, Corporate Directors, and Heads of Service. In addition, Overview & Scrutiny Committee provides pre decision review of the proposals.

2.22 The MTFS is a continuous process and the journey ending with the production of this report has been over ten months in the making. Estimates are made at

various points along the journey, they are still estimates at a point in time, but which may or may not come to fruition for a variety of factors and could be within or outside of the council's influence or control. These estimates cannot give guaranteed assurances but give Members reasonable assurances that the budget is set on the best available information as at budget setting.

2.23 The MTFS development process begins with calculating the estimated budget gap, based on assumptions for pay and price inflation, demand and demographic pressures, interest rates, income forecasts (including Council Tax and Business Rates collection rates), Pension Fund contribution rates, capital expenditure and receipts, bad debt provisions, external grants, and required growth and savings.

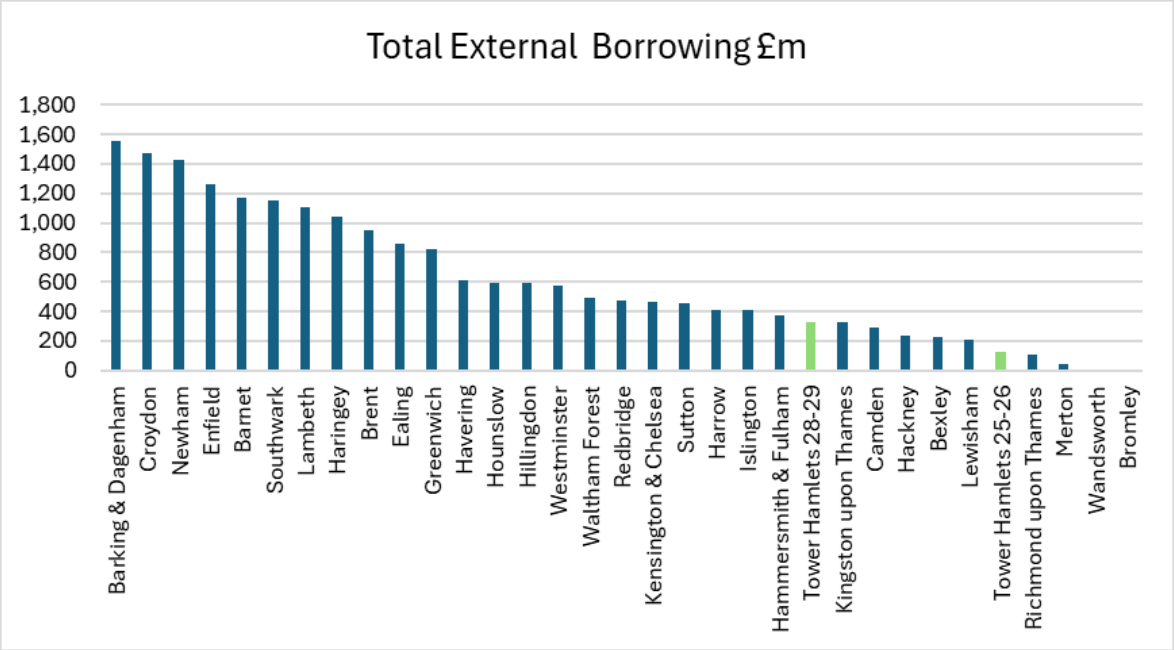
2.24 Senior officers led by the Council's Chief Executive have worked with the Financial Sustainability Forum (FSF) and the Spending Review Panel (SRP) chaired by the Mayor and supported by the Cabinet Member for Finance to develop in year mitigation plans for 2025-26 and 2026-27 MTFS Budget reduction proposals. All savings and growth proposals have been subject to a structured review process, including multiple FSF and SRP meetings, where Lead Members and Corporate Directors were collaboratively challenged and budget proposals were refined.

2.25 In addition to the Financial Spending Review Panels, Corporate Directors lead departmental spending reviews through their Directorate Leadership Team meetings, where they consider savings and growth proposals before being submitted to the Spending Review panels. These sessions provide structured oversight of financial performance, ensuring that mitigations, in-year management actions, and financial forecasts are fully discussed, challenged, and agreed as part of the Council's wider financial governance framework.

2.26 Proposals for growth, savings and income generation are ultimately a matter of political judgment balancing the needs and priorities of the borough within the available resources. In balancing such decisions Members must have regard to the professional advice of officers in such matters as service levels, statutory responsibility, demographic factors (particularly in respect of demand-led services), and unavoidable cost pressures whilst always having regard to the need to remain within the statutory requirement to balance the budget and to keep within that budget and available resources once the budget is set. This report forms part of that advice.

2.27 Over the MTFS period, capital investment requirements are rising and will increasingly need to be financed through borrowing. As internal balances reduce, a greater share of this borrowing will need to be external. Based on the current capital programme, external borrowing is forecast to increase from £69m in 2024-25 to £333m by 2028-29. A significant proportion of this external borrowing will fall within the Housing Revenue Account (HRA), reflecting the additional investment required in maintaining and improving existing stock as well as supporting the new-build programme. HRA borrowing does not require a Minimum Revenue Provision and has already been modelled within the HRA Business Plan. For the General Fund, however, the increased reliance on

borrowing will lead to higher debt servicing and Minimum Revenue Provision costs, which have been incorporated into the Council's financial planning to ensure capital and revenue plans remain aligned and sustainable. This position will require constant monitoring to ensure affordability is maintained and remains subject to the successful delivery of the current planned capital programme on time and within budget. The following graph illustrates the Council's current 2025–26 borrowing position and the projected MTFS position, assuming additional external borrowing is undertaken.



Comparison Figures from the Government's 30th September 2025 LA Borrowing and Investment Return

2.28 All Members and senior management have been fully briefed on the key risks, assumptions and national pressures facing the Council, and on the importance of ensuring that the proposed budgets are sufficient to meet these challenges. The refreshed MTFS was presented to Cabinet on 28 January 2026 following a full and transparent process, with all underlying assumptions clearly set out. In-year budget monitoring and the budget proposals within this report have also been subject to scrutiny by the Council's Overview and Scrutiny Committee. In addition to the Financial Sustainability Forum and the Corporate Management Team meetings, the Cabinet Member for Finance meets weekly with the Section 151 Officer to review all significant financial matters. This governance framework ensures that budget reductions and the wider financial strategy are understood and collectively owned by the Corporate Management Team and the Executive. Members and Corporate Directors have agreed the assumptions underpinning the budget and MTFS, based on the best information currently available, and recognise the need for strong financial controls and continued support for the actions required to manage expenditure effectively.

2.29 All Corporate Directors have signed their respective directorate Budget Assurance Statements for 2026–27. Through these statements, they confirm that they have reviewed and approved their directorate budgets, accept

responsibility for managing expenditure within approved allocations, and will not permit overspends. They further affirm that savings and growth proposals are deliverable, that known financial risks and audit issues have been considered, and that appropriate mitigations are in place. Directors also confirm compliance with Financial Procedure Rules, Contract Procedure Rules, and delegated authorities, as well as their commitment to taking prompt action where financial pressures arise. These statements are included at Annex 2 Appendix 14.

2.30 Over the MTFS period, £15 million has been allocated to the Transformation Reserve from revenue budgets (£5m per year) to support the delivery of major transformation initiatives. To protect the Council's revenue position, I strongly recommend that consideration be given to utilising capital receipts, in line with the Flexible Use of Capital Receipts regulations, to fund eligible transformation activity. This approach would help ensure the long-term sustainability of transformation, minimise the risk to successful programme delivery, and reduce pressure on revenue budgets.

2.31 The 2026-27 General Fund budget allows for:

- £44m of growth, this includes over £22m for Adult Social care and £15m for Housing and Regeneration primarily to meet temporary accommodation costs.
- £7m growth for other Directorates.
- £7m has been provided for non-pay inflation based on Bank of England forecast.
- £12m has been provided for pay inflation using the 25-26 pay award
- Savings of £15m (new and previously agreed).
- Strategic Funding Substitutions of £25m based on current balances of s106/CIL receipts, subject to internal governance processes and legal clearance.
- A reduction in the Council's pension contribution rate following agreement by the Council's Pensions Committee, subject to final valuation in March 2026.
- An increase in contingency from £5m to £10m to help de-risk the budget.
- Council Tax has been increased by 2.99% and a 2% increase for ASC precept.

2.32 The Executive and Corporate Directors fully understand the financial position of the Council. Whilst the budget is balanced for 2026-27, each service must take action to ensure they manage to contain their expenditure within the set budget limit. This will only be achieved by:

a) ensuring all budget reductions and savings are delivered on time.

b) taking robust, early action at pace to reduce any in-year overspends.

c) longer-term market management and demand reduction, underpinned by continuous monitoring, which will be critical in reducing overall expenditure in 2026-27 and across the MTFS period.

d) the Council's Transformation programme to reduce both cost and demand on services, through more efficient processes. High level plans are in the process of being translated into detailed delivery plans. Although new corporate transformation protocols and processes have been developed, and the Budget Board has been repurposed to oversee and monitor the delivery of the transformation programme, there remains a material risk to successful delivery. This risk reflects the need for the Council to implement transformation at the required pace. Effective management of this risk is essential to ensuring the budget can be delivered in full.

e) any financial impact of the corporate risks will need to be managed within agreed budgets.

f) the Council being prepared to consider all options and take any hard early decisions including service policy changes, to ensure that it does not overspend and remains financially sustainable in 2026–27 and across the MTFS.

Housing Revenue Account (HRA)

2.33 The HRA Business Plan is based on assumptions, these include assumptions on rent levels, rent convergence, inflation, Right to Buy sales, interest rates on borrowing, capital expenditure grant income and savings. Independent advice was sought from the Council's advisors, who were able to use their sector knowledge to provide independent checks that the assumptions feeding into the HRA business plan are realistic and challenge where they were significantly different to what was being modelled in other Councils or went against their professional judgement. The final decision, however, remains with the Council.

2.34 The HRA Business Plan is in a balanced position across all 30 years with no breach of its key operating parameters, that being an Interest Cover Ratio of 1.15 and minimum revenue balances of £10m. However, there is very little headroom in the early years of the plan and any changes to delivery adversely impacting income or expenditure is likely to result in a breach of the interest cover ratio.

2.35 Risks associated with the HRA business plan which need to be managed to ensure its viability include:

a) Timing of acquisitions and new build properties. Any slippage to these delivery programmes will result in a reduction in rental income. This income loss is compounded over the life of the business plan. As income from rents represents the main funding source of the HRA, it has a significant impact on the HRA's ability to meet the cost of interest payments on its borrowing.

b) Delays to delivery of the capital programme also leads to additional costs. Labour and material costs are rising at above inflation levels and later delivery to both new build and existing stock rolling programmes will put the viability of the business plan at risk. Delays to major works on the existing stock programme will also have a revenue impact, with more reactive repairs required to maintain the ageing stock.

c) As part of the national Social and Affordable Housing Programme (SAHP), the Council's new-build programme assumes future GLA grant funding of £52m in 2026-27 and £156m across the life of the capital programme. This funding is not yet approved, and failure to secure the full allocation would risk breaching the Interest Cover Ratio. Schemes reliant on external grants should only proceed once funding is confirmed and all governance gateway requirements have been met. Progressing schemes without confirmed grant funding would create a funding gap requiring reductions to the capital programme, additional borrowing (subject to prudential borrowing requirements), or further savings, and any abortive costs would need to be met by the HRA.

d) The cost of delivering the capital programme, and the resulting viability of individual projects, presents a significant risk to the business plan. Unit costs have risen sharply and continue to face inflationary pressures, increasing the likelihood of schemes exceeding budget. Where projects cannot be delivered within approved cost envelopes, they will need to be scaled back, alternative savings identified, or additional borrowing considered, subject to Prudential Borrowing requirements. Any departures from approved budgets will also necessitate reassessment of programme scope, and any abortive costs incurred would fall to the HRA.

e) Over the past decade the Governments have imposed four years of rent reductions and one year with a below inflation rent cap. Although there is a 10-year rent standard in place, with annual increases of CPI +1%, there is a potential risk that the Government could amend this and impose further reductions, freezes or capped increases which will significantly harm the HRA's ability to fund its revenue and capital activities.

f) There have been instances where the Council has been unable to charge leaseholders for major works undertaken as a result of s20 billing issues or where the Council has billed and been successfully challenged in court. The HRA business plan assumes the use of s20 income to contribute

towards the cost of its stock investment programme and reducing this contribution could increase the need for additional borrowing.

g) There remains a significant risk that emerging and ongoing legislative requirements including Awaab's Law, Minimum Energy Efficiency Standards, Building and Fire Safety regulations, and obligations to maintain decency across the stock, will place further pressure on the existing stock investment programme. While additional investment has been included in this budget to mitigate and address these requirements, compliance may still necessitate increased spending on repairs, maintenance, and the management of disrepair claims, potentially impacting the affordability and deliverability of the programme.

h) All agreed Revenue savings will need to be delivered to maintain a balanced position. The delivery of these savings will need to be closely monitored as slippage or non-delivery will result in unbudgeted expenditure which the HRA will need to be able to absorb.

2.36 To mitigate these risks, the HRA Business Plan is updated annually to reflect changes in assumptions and ensure ongoing affordability. The impact of new capital schemes, as well as any slippage within existing programmes, is modelled throughout the year and informs decision-making. There is also small headroom in the early years of the HRA Business Plan, which helps to offset the potential worsening of key assumptions. In addition, regular budget monitoring enables early identification of cost and income pressures, allowing timely mitigating actions to be developed and implemented.

Adequacy of Reserves

2.37 Determining the appropriate levels of reserves and balances is a matter professional judgement based on local circumstances including the overall budget size, risks, robustness of budgets, major initiatives being undertaken, budget assumptions and the Council's track record in budget management.

2.38 Under the 2003 Act, the Secretary of State has reserve powers to set a minimum level of reserves. The most likely use of this power is where an authority is running down its reserves against the advice of their Statutory S151 Officer.

2.39 The Section 151 Officer will ultimately exercise control over the prudent use of all reserves. It should be noted that the consequences of not keeping a minimum prudent level of reserves and balances can have extremely serious impacts on a local authority and can result in the Section 151 Officer to seek Exceptional Finance Support from the Government.

2.40 CIPFA provide advice to Chief Financial Officers in forming their views on the robustness of reserves and resilience of reserves and point to the relative position of an authority in comparison to a cohort of similar sized authorities with comparable demographic composition. The data for the Financial

Resilience Index is obtained from the revenue expenditure and financing England outturn report ('RO forms') and the capital outturn return ('COR C') 2024-25. It reflects figures submitted by local authorities to MHCLG, published in December 2025.

2.41 The Reserves Index has two indicators, the indicators for Tower Hamlets and the definitions are provided below:

a) Level of Reserves – This is the percentage of the current level of reserves (total useable excluding public health and schools) to the Council's net revenue expenditure.

b) Change in Reserves – This indicator represents the change in reserves (total useable excluding public health and schools) over the past three years.

Table 1 – Reserves Index at the end of Financial Year 2024/2025



2.42 The CIPFA Resilience Index shows that both the current level of reserves and the recent change in reserves sit toward the higher-risk end of the spectrum, reflecting the significant drawdown of reserves in recent years. This position is mainly due to the substantial cost pressures the Council continues to face in homelessness and adult social care, where demand and market-driven inflation have materially impacted financial performance. Taken together, these indicators highlight the need to strengthen the Council's financial resilience. The planned rebuilding of reserves over the MTFS period is therefore essential to restoring a more sustainable financial position and ensuring the Council remains able to respond to ongoing volatility in demand, pricing and service pressures.

2.43 The use of reserves is not intended to replace savings or income generation within the MTFS. Reserves can only be used once, and relying on them to avoid delivering savings or securing new income merely delays the issue and creates additional pressures in future years. Where reserves are earmarked for a specific purpose, their use reflects the delivery of that purpose and is not problematic. The General Fund balance and the Risk Reserve are the two principal reserves that support the budget, providing resilience against financial uncertainty and helping to maintain a stable underlying budget position.

2.44 The General Fund reserves forecast is set out in the table 2 below. This

assumes the current reported 25-26 forecast overspend at Q2 of £18.9m is funded from the risk reserve. This forecast may deteriorate as the year progresses, depending on in-year pressures and emerging risks. There has been reduction in reserves in recent years, the forecast for 25-26 is a reduction from £151m to £87.3m, a reduction of £63.7m (largely due to nationally recognised pressures such Homelessness and Adult Social Care) and any further reductions would put the Council at significant risk.

2.45 This budget report allows for an increase in the risk reserve of £20m in 26-27 and further £20m in 27-28 and a further £10m in 29-30 and the General balance of £25m over the MTFS. This General Fund Balance is an absolute minimum level with further £25m in Risk Reserve, giving a total of minimum balance of £50m which is equivalent to 10% of the net budget requirement. In addition to these core reserves, the Council maintains an earmarked Corporate Funding Reserve of £3m in 26-27 within earmarked reserves to manage funding volatility, including fluctuations in the Collection Fund such as business rates. This reserve provides an additional buffer to safeguard the Council's financial stability in the face of external uncertainties. By replenishing these reserves, this helps improve the Council's financial resilience and reduce risk.

2.46 In addition, the table below assumes that no overspend is funded from reserves between 2026-27 and 2028-29. It is essential that the Council continues the enhanced governance arrangements introduced in 2025-26 to ensure it does not overspend. Very careful budget management will be required, and the Council may need to make difficult decisions, including changes to service policies, to prevent further depletion of reserves and maintain financial sustainability.

Table 2 – Revenue Reserves Forecast

All figures in £m	2024-25	2025-26 Forecast	2026-27 Forecast	2027-28 Forecast	2028-29 Forecast
General Fund balance	21.2	25.0	25.0	25.0	25.0
Risk Reserve	1.9	4.5	24.5	44.5	54.5
Corporate Funding Reserve	-	-	3.3	5.2	7.6
Earmarked Reserves without restrictions	32.5	7.0	7.4	5.1	2.9
Sub-total	**55.6**	**36.5**	**60.2**	**79.8**	**90.0**
Earmarked Reserves with restrictions	**95.4**	**50.8**	**41.4**	**36.8**	**34.4**
Total General Fund Revenue Reserves	**151.0**	**87.3**	**101.6**	**116.6**	**124.4**

2.47 Sensitivity modelling undertaken this year shows that, in a combined worst-case scenario across inflation, demand and cost pressures, the Council could face additional pressures of up to £22.09m in 2026-27, rising to £41.49m by 2028-29. In a more favourable scenario, a combined best-case scenario would generate underspends of between £15.2m and £29.56m over the same period.

Scenario	2026-27 £m	2027-28 £m	2028-29 £m
Best Case Difference	(15.2)	(22.13)	(29.56)
Mid Best-Case Difference	(7.61)	(12.07)	(16.82)
MTFS Base Case	**-**	**-**	**-**
Mid Worst-Case Difference	11.01	14.50	18.70
Worst Case Difference	22.09	30.85	41.49

2.48 When set against the Council's forward looking reserves position, this indicates that the organisation would be able to absorb the higher end of these risks, assuming no additional overspends arise and the modelling assumptions hold as at the time of analysis. However, this position is not guaranteed and remains highly sensitive to changes in demand, inflation and service pressures. A cautious approach is therefore essential.

2.49 As shown in the Table 2 the General Fund balance and the Risk Reserve together increase to £49.5m in 2026-27, rising to £69.5m in 2027-28 and £79.5m in 2028-29, alongside further support from unrestricted earmarked reserves.

2.50 This strengthened reserves position provides capacity to manage the range of outcomes highlighted through the sensitivity modelling, assuming no additional overspends occur and the modelling assumptions remain valid at the time of analysis. However, this position remains highly sensitive to movements in demand, inflation and wider cost pressures. The sensitivity outcomes are estimates based on the assumptions and data available at the time of modelling, and these may change as underlying cost drivers evolve. It is therefore essential that the Council maintains strong financial discipline, continues to replenish reserves as planned, and regularly updates its modelling throughout the year to identify and respond promptly to any adverse developments. This will require sustained focus on strengthening demand management, ensuring supplier and market strategies reflect the most up to date intelligence, and maintaining a dynamic approach to financial planning that enables timely corrective action and safeguards the Council's financial resilience.

2.51 The Government announced it is committed to resolving 90% of local authorities' DSG High Needs deficits accrued to the end of 2025-26 as part of the final settlement. All local authorities with a SEND deficit will be eligible to receive grant funding subject to submitting and securing the Department for Education's approval of a local SEND reform plan in the Autumn of 2026. The forecast (as at Q2) 10% element for Tower Hamlets at end of 2025-26 of £2.9m

and this will need to funded when the Statutory override ends in 2027-28. Treatment of the remaining 10% of deficit accrued by 31st March 2026 and that accrued by 2027-28 when the statutory override expires, is unclear at this stage. This presents a risk for the Council and may need to be funded from reserves. From April 2028, authorities will no longer be expected to hold DSG SEND deficits as the costs are supposed to be funded by central government.

DSG	2025-26 £m	2026-27 £m	2027-28 £m
Forecast DSG Deficit	29.5	39.5	49.5
Grant Funded*	(26.6)	(26.6)	(26.6)
To Be Funded	**2.9**	**12.9**	**22.9**

* 90% funding confirmed for 2025-26 only

2.52 The Contingency within the annual Budget will be used in the first instance to meet the cost of risks. The in-year contingency budget has been increased by £5m to £10m in 2026-27. The Council's unrestricted usable Earmarked Revenue Reserves act as a second line of defence. This contingency and reserves provide headroom in relation to any budget overspends, and these measures cannot fully mitigate the extent of the risks over the Medium Term. The General Fund balance is the absolute last line of defence and a requirement to utilise this balance would indicate severe financial difficulty.

2.53 The Council cannot rely on its reserves to cover future funding gaps, and so senior officers and members must deliver on the savings that have been identified and continue to manage in year pressures within the financial envelope.

2.54 The minimum level of balances cannot be judged merely against the current risks facing the Council as these can and will change over time. Reserves must remain adequate over the medium to long term.

Conclusion

2.55 In conclusion, having considered the risks, assumptions and uncertainties set out in this statement, I am satisfied that the budget estimates for 2026-27 are sufficiently robust for budget-setting purposes and Council Tax, and that the General Fund balance and reserves, though low, are adequate for 2026-27 given the financial pressures facing the Council.

2.56 It is therefore imperative that the Council rebuilds and strengthens the reserves as proposed in this budget. However, it is essential to recognise that both the 2026-27 position and the medium-term financial outlook remain exposed to substantial and increasing sector wide risks impacting all other local authorities. Continued vigilance will be critical. The Council must closely monitor its financial position, take timely and decisive action to address emerging risks, and progress the strengthening of reserves as set out in this budget to ensure the long-term sustainability and resilience of its finances.

3 EQUALITIES IMPLICATIONS

3.1 Equalities implications are set out in the reports which are appended.

4 OTHER STATUTORY IMPLICATIONS

4.1 a) This section of the report is used to highlight further specific statutory implications that are either not covered in the main body of the report or are required to be highlighted to ensure decision makers give them proper consideration. Examples of other implications may be:

- Best Value Implications,
- Consultations,
- Environmental (including air quality),
- Risk Management,
- Crime Reduction,
- Safeguarding.
- Data Protection - Privacy Impact Assessment.

b) Statutory implications are set out in the reports which are appended.

5 COMMENTS OF THE CHIEF FINANCE OFFICER

5.1 As this report is financial in nature the comments of the Chief Finance Officer (S151 officer) have been incorporated throughout this report. Particular reference should be made to the S151 officer's statement included in this report, as required by Section 25 of the Local Government Act 2003, relating to the adequacy of reserves, robustness of estimates and the Council's annual contingency budget.

6 COMMENTS OF LEGAL SERVICES

6.1 The Council is required by section 151 of the Local Government Act 1972 to make arrangements for the proper administration of its financial affairs. The Council's Chief Finance Officer has established financial procedures to ensure the Council's proper financial administration. These include procedures for budgetary control of which this report forms part. It is consistent with these arrangements for the Council to receive information about the revenue and capital budgets as set out in this report.

6.2 The Chief Finance Officer (the section 151 officer) has made a statement regarding the robustness of the various estimates included in this report and the adequacy of the proposed reserves in accordance with S25 of the Local Government Act 2003. Under the same law the Council must have regard to such statement before agreeing or otherwise the recommendations stated in this report.

6.3 The setting of budgets and monitoring of financial information is also a significant contributor to meeting the Council's Best Value legal duty and therefore this report complies with that legal duty.

6.4 There are areas covered in the report where persons with a protected characteristic may be indirectly affected by changes to the budget for the purposes of the Equality Act 2010. However, where changes in the budgetary position result in a change to the delivery of a service, the effect on persons should be considered immediately prior to the making of a change to the service.

Linked Reports, Appendices and Background Documents

The following documents are attached to this report for the Council's consideration: -

Annex 1: Budget Motion from Councillor Saied Ahmed, Cabinet Member for Resources and the Cost of Living

- Budget Motion and Council Tax Requirement 2026-27
- Appendix A - Council Tax Resolution

Annex 2: Report of the Corporate Director – Resources to Cabinet on 28th January 2026: Budget Report 2026-27 and Medium-Term Financial Strategy 2026-2.

- Appendix 1A* Medium Term Financial Strategy Summary
- Appendix 1B* Medium Term Financial Strategy Detail by Service Area
- Appendix 1C* Core Spending Power
- Appendix 2A* Proposed New Growth & Inflation Summary
- Appendix 2B Proposed New Growth Business Cases
- Appendix 2C Previously Approved Growth & Inflation Summary
- Appendix 2D Previously Approved Mayoral Priority Investments Continuing in the Base Budget
- Appendix 3A* Proposed New Net Budget Reductions Summary
- Appendix 3B* Proposed New Net Budget Reductions Business Cases
- Appendix 3C Previously Approved Savings Summary
- Appendix 4 Council Taxbase Calculation
- Appendix 5 Fees and Charges Schedule
- Appendix 6 General Fund Sensitivity Analysis
- Appendix 7* Reserves Policy
- Appendix 8* Projected Movement in Reserves
- Appendix 9A Capital Programme Report 2025-29
- Appendix 9B General Fund (GF) Capital Programme 2025-29
- Appendix 9C General Fund (GF) Capital Growth and Reductions 2025-29
- Appendix 9D Housing Revenue Account (HRA) Capital Programme 2025-29
- Appendix 10A Housing Revenue Account (HRA) Budget Summary
- Appendix 10B Housing Revenue Account (HRA) Rent Setting Policy
- Appendix 10C Housing Revenue Account (HRA) Growth and Savings

- Appendix 11 Budget Consultation
- Appendix 12 Flexible Use of Capital Receipts Strategy
- Appendix 13* Overview & Scrutiny Committee (OSC) Report
- Appendix 14* Corporate Directors' Assurance Statements

* Updated appendices

Annex 3: Report of the Corporate Director - Resources to the Audit Committee 29th January 2026: Treasury Management Strategy Statement, Investment Strategy Report and Capital Strategy Report for 2026-27.

- Appendix A Treasury Management Strategy Statement
- Appendix B Investment Strategy Report
- Appendix C Capital Strategy Report
- Appendix D Prudential and Treasury Management Indicators
- Appendix E Treasury Management Policy Statement
- Appendix F Treasury Management Scheme of Delegation
- Appendix G Treasury Management Reporting Arrangement
- Appendix H Glossary

Background Documents – Local Authorities (Executive Arrangements)(Access to Information)(England) Regulations 2012

- None

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